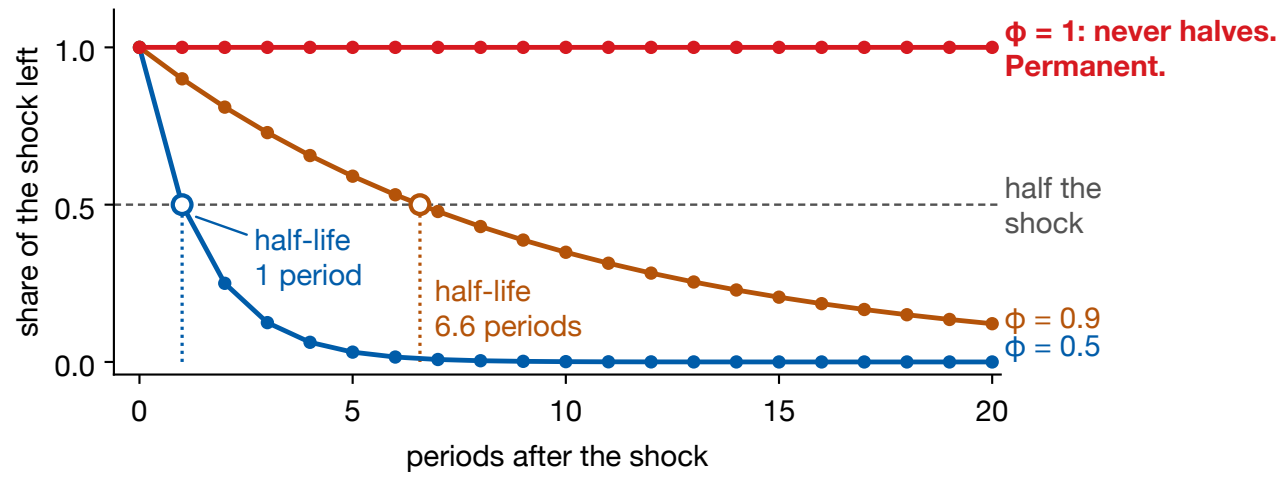
share of the shock left
1.0
0.5
0.0
0
5
10
15
20
periods after the shock
ϕ = 1: never halves.
Permanent.
half the
shock
half-life
1 period
half-life
6.6 periods
ϕ = 0.9
ϕ = 0.5